BEFORE THE BUSINESS CONDUCT COMMITTEE
OF THE
CHICAGO BOARD OPTIONS EXCHANGE, INCORPORATED

In the Matter of:	
Scout Trading, LLC 12 E. 49th Street 12th Floor New York, NY 10017	File No. 14-0018
Respondent	

DECISION ACCEPTING OFFER OF SETTLEMENT

This proceeding was instituted by the Business Conduct Committee (the "Committee") of the Chicago Board Options Exchange, Incorporated (the "Exchange") as a result of an investigation by the staff of the Exchange, which indicated that there was probable cause for finding a violation within the disciplinary jurisdiction of the Exchange. In accordance with that determination, the Committee directed the issuance of a Statement of Charges ("Statement of Charges"). Pursuant to Exchange Rule 17.8, the respondent ("Respondent"), Scout Trading, LLC ("Scout") submitted an offer of settlement ("Offer of Settlement").

In submitting the Offer of Settlement, the Respondent neither admitted nor denied the violations alleged in the Statement of Charges.

The Respondent has agreed that the determination of the Committee to accept the Offer of Settlement shall constitute a final Decision, and, as provided in Exchange Rule 17.8, the Respondent may not seek review thereof.

The Respondent understands and acknowledges that the Committee's decision in this matter will become part of its disciplinary record and may be considered in any future Exchange proceeding.

With due regard to the particulars of this matter, the Committee believes it is appropriate to accept the Respondent's Offer of Settlement based on the following stipulated facts and findings and thereby to impose the sanction specified below.

FACTS

1. During all relevant periods herein, Scout was a CBOE Stock Exchange ("CBSX") Trading Permit Holder registered to conduct business as a Market-Maker. In addition, Scout conducted a proprietary trading business.

2. During all relevant periods, Scout was acting as a registered broker-dealer.

3. During all relevant periods herein, Exchange Rule 4.2 – Adherence to Law; and Regulation NMS Rule 611 – Order Protection Rule were in full force and effect.

4. In or about June 2012, the Exchange initiated a Regulation NMS examination that included, but was not limited to, a review of Scout's Written Supervisory Procedures related to Regulation NMS Rule 611.

5. Regulation NMS Rule 611 provides, in relevant part that a "trading center shall establish, maintain, and enforce written policies and procedures that are reasonably designed to prevent trade-throughs on that trading center of protected quotations in NMS stocks that do not fall within an exception set forth in paragraph (b) of this section and, if relying on such an exception, that are reasonably designed to assure compliance with the terms of the exception." In addition a "trading center shall regularly surveil to ascertain the effectiveness of the policies and procedures…and shall take prompt action to remedy deficiencies in such policies and procedures."

6. From on or about June 1, 2011 through on or about December 23, 2013, Scout failed to establish, maintain and enforce written policies and procedures reasonably designed to prevent trade-throughs on a trading center of protected quotations in NMS stocks that do not fall within an exception set forth in paragraph (b) of Regulation NMS Rule 611 and that are reasonably designed to assure compliance with the terms of any exemption. In addition, Scout failed to regularly surveil to ascertain the effectiveness of the policies and procedures and take prompt action to remedy deficiencies in such policies and procedures.

FINDINGS

The acts, practices and conduct described in Paragraph 6 above constitute violations of Exchange Rule 4.2; and Regulation NMS Rule 611 by Scout in that Scout failed to establish, maintain and enforce written policies and procedures reasonably designed to prevent trade-throughs on a trading center of protected quotations in NMS stocks that do not fall within an exception set forth in paragraph (b) of Regulation NMS Rule 611 and that are reasonably designed to assure compliance with the terms of any exemption. In addition, Scout failed to regularly surveil to ascertain the effectiveness of the policies and procedures and take prompt action to remedy deficiencies in such policies and procedures.

SANCTION

The sanction to be imposed shall consist of a $5,000 fine and a censure.

ORDER

ACCORDINGLY IT IS ORDERED THAT, the Respondent, Scout Trading, LLC shall be and hereby is censured and fined in the amount of five thousand dollars ($5,000).

SO ORDERED
FOR THE COMMITTEE

Dated: May 23, 2014

By: /s/ Bruce Andrews
Bruce Andrews
Chairman
Business Conduct Committee